Practice workbook · Organisational structures: hierarchical, flat, centralised, decentralised

Organisational charts: hierarchical versus flat structures and centralised versus decentralised decision-making, with their benefits and drawbacks.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S2-31

1. Question 2 · part c · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part c only.

2 (a) State **one** way *TBTS* can measure its success as a business.

(1)

(b) State **one** reason why *TBTS* might segment its market.

(1)

(c) Explain **one** benefit to a business of having a flat organisational structure.

(3)

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1. Question 2 · part c · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part c only.

(d) Explain **one** method a small business might use to increase its profit.

(3)

(e) Explain **one** benefit to a business of using the Boston Matrix.

(3)

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1. Question 2 · part c · 3 marks · Working and answer

Working and answer

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2. Question 3 · part a · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part a only.

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3 Saving the environment in which we all live is important. The Chairman ensures that *Emirates* works hard to recycle many of the materials it uses and to reduce atmospheric pollution from the fuel that powers its aircraft. Water consumption for washing aircraft has been reduced, newspapers and other paper products collected from *Emirates* aircraft cabins are recycled. *Emirates* uses a variety of methods to monitor its employees when carrying out these jobs. For these roles *Emirates* uses a short chain of command.

(a) Define the term **hierarchical structure**.

(1)

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(b) Outline **one** reason why *Emirates* has a short chain of command for monitoring its employees when recycling.

(2)

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Emirates used 13,457,776 litres of petrol in 2016–2017. In 2017–2018 it reduced this figure by 12.5%.

(c) Calculate the number of litres of petrol that *Emirates* used in 2017–2018. You are advised to show your workings.

(2)

..... litres

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2. Question 3 · part a · 1 mark · Working and answer

Working and answer

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3. Question 1 · part a.iv · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part a.iv only.

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1 *Samsung* is a South Korean public limited company. It designs and produces electronic products including mobile phones, televisions and laptops. It has factories and offices in 74 countries and employs more than 270,000 people worldwide.

Samsung is the leading producer of televisions. It competes with businesses such as *Apple* and *Xiaomi* in the smartphone market.

The aim of *Samsung* is 'to create superior products and services that contribute to a better society'. To achieve this, *Samsung* invests heavily in new technology and employs skilled engineers to design innovative products.

(a) (i) Which **one** of the following is a financial aim of a business?

(1)

Select **one** answer.

- ☒ **A** Survival
- ☒ **B** Independence
- ☒ **C** Control
- ☒ **D** Challenge

(ii) Which **one** of the following is a job in the secondary sector?

(1)

Select **one** answer.

- ☒ **A** Farmer
- ☒ **B** Grocery store manager
- ☒ **C** Restaurant waiter
- ☒ **D** Ship builder

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3. Question 1 · part a.iv · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part a.iv only.

Figure 1 shows the number of employees in three factories owned by a European business.

	Number of employees
Factory 1	210
Factory 2	125
Factory 3	140

Figure 1

The business pays remuneration of €120 per day for each employee.

(iii) Which **one** of the following is the total daily remuneration cost for the three factories?

Select **one** answer. (1)

- ☒ **A** €15 000
- ☒ **B** €16 800
- ☒ **C** €25 200
- ☒ **D** €57 000

(iv) Which **one** of the following is an advantage of a hierarchical organisational structure?

Select **one** answer. (1)

- ☒ **A** It is less expensive to operate than a flat structure
- ☒ **B** It has a short chain of command
- ☒ **C** It has more job promotion opportunities for its employees
- ☒ **D** It has a wide span of control

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4

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3. Question 1 · part a.iv · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part a.iv only.

Figure 2 shows a monthly cash flow statement for a business.

	€ (euros)
Opening balance	€76 000
Cash inflow	€59 000
Cash outflow	€34 000

Figure 2

(v) Which **one** of the following is the net cash flow for this month?

Select **one** answer.

(1)

- ☒ **A** €17 000
- ☒ **B** €25 000
- ☒ **C** €42 000
- ☒ **D** €101 000

(vi) Which **one** of the following best describes Taylor's motivational theory?

Select **one** answer.

(1)

- ☒ **A** Workers are motivated by money
- ☒ **B** Workers are motivated by esteem needs
- ☒ **C** Workers are motivated by hygiene factors
- ☒ **D** Workers are motivated by working in teams

(b) Define the term **job rotation**.

(1)

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3. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

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4. Question 2 · part e · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

2 (a) State **one** method *Irsi Chocolatier* could use to improve its competitive position.

(1)

(b) State **one** way *Irsi Chocolatier* might extend the life cycle of one of its products.

(1)

(c) Explain **one** way a business could use e-newsletters.

(3)

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4. Question 2 · part e · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

(d) Explain **one** way a business could use market research information.

(3)

(e) Explain **one** benefit to a business that has a decentralised organisational structure.

(3)

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4. Question 2 · part e · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

Irsi Chocolatier is planning to produce chocolate lollipops in different shapes and flavours.

Currently, handmade chocolates are made using batch production and cakes for special occasions use job production.

To make the new chocolate lollipops *Irsi Chocolatier* is considering using:

Option 1: batch production

Option 2: job production.

(f) Justify which **one** of these two options *Irsi Chocolatier* should choose.

(9)

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4. Question 2 · part e · 3 marks · Working and answer

Working and answer

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5. Question 2 · part e · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

2 (a) State **one** reason why *Café Pinch* might set business objectives.

(1)

(b) State **one** way *Café Pinch* could use the Boston matrix to review its product portfolio.

(1)

(c) Explain **one** responsibility of the human resources function.

(3)

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5. Question 2 · part e · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(d) Explain **one** advantage of being in a partnership.

(3)

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(e) Explain **one** disadvantage to a business of having a hierarchical organisational structure.

(3)

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5. Question 2 · part e · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

Berlin has recently seen an increase in cafés, small restaurants and breakfast bars. To remain competitive and keep its customers, *Café Pinch* is reviewing its marketing mix. It is considering two options:

Option 1: introduce a vegan range of products

Option 2: a special offer of 7.5% discount to customers on Wednesday mornings 9am–12pm.

(f) Justify which **one** of these two options *Café Pinch* should choose.

(9)

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5. Question 2 · part e · 3 marks · Working and answer

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6. Question 2 · part d · 3 marks

2024 JUN · Paper 01

Further practice · Attempt part d only.

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2 (a) State **one** advantage for *PPS* of keeping its customers loyal.

(1)

(b) State **one** reason why *PPS* motivates its employees.

(1)

(c) Explain **one** impact on a business of ineffective communication.

(3)

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6. Question 2 · part d · 3 marks

2024 JUN · Paper 01

Further practice · Attempt part d only.

(d) Explain **one** advantage to a business of having a decentralised organisation.

(3)

(e) Explain **one** benefit to a business of using seasonal employees.

(3)

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6. Question 2 · part d · 3 marks · Working and answer

Working and answer

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7. Question 4 · part c · 12 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

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4 **Figure 3** shows an extract from a statement of financial income.

	$ (US Dollars)
Revenue	218 000
Gross profit	112 000
Other operating expenses	94 000

Figure 3

(a) Calculate, to **two** decimal places, the operating profit margin. You are advised to show your workings.

(2)

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7. Question 4 · part c · 12 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

(b) Analyse the purpose of market research for *Samsung*.

(6)

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7. Question 4 · part c · 12 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

Samsung has factories in 74 countries and employs 270,000 people. It has a centralised organisation structure. Its head office is in Seoul, South Korea where major decisions on production, design and marketing are made.

(c) Evaluate whether a centralised organisation structure will benefit *Samsung*. You should use the information provided as well as your own knowledge of business.

(12)

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7. Question 4 · part c · 12 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

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(Total for Question 4 = 20 marks)

7. Question 4 · part c · 12 marks · Working and answer

Working and answer

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